ACADEMIC CENTRAL

PRACTICE EXAMINATION

GRADE 7

ECONOMIC AND MANAGEMENT SCIENCES

PAPER 1 · PRACTICE D

MARKS: 100 **TIME: 2 hours**

Covers the Grade 7 year: the economy (problems with barter, forms of money today, goods and services, producers and consumers, causes of poverty and ways to reduce inequality), financial literacy (a learner's budget, a household budget with a deficit, simple interest on savings, banking) and entrepreneurship (costing and pricing popcorn for Entrepreneur's Day, profit, advertising and teamwork).

Written by Academic Central for practice, following the CAPS curriculum for Grade 7. It is not a Department of Basic Education examination paper.

INSTRUCTIONS AND INFORMATION

1. This question paper consists of FOUR sections: SECTION A (20), SECTION B: The economy (25), SECTION C: Financial literacy (30) and SECTION D: Entrepreneurship (25).
2. Answer ALL the questions.
3. Number your answers exactly as the questions are numbered.
4. Show ALL calculations. A non-programmable calculator may be used.
5. Write neatly and legibly.

SECTION A

QUESTION 1: MULTIPLE CHOICE

Choose the correct answer. Write only the letter (A–D) next to the question number, e.g. 1.11 B.

1.1 Swapping goods directly for other goods, without using money, is called …

A saving. B barter. C credit. D banking.

1.2 Which of these is a SERVICE?

A A loaf of bread B A school bag C A haircut D A cell phone

1.3 A person who buys and uses goods and services is a …

A consumer. B producer. C manufacturer. D supplier.

1.4 Money paid to a person for work done every month is a …

A loan. B gift. C bonus only. D salary.

1.5 When expenses are more than income, a budget shows a …

A profit. B surplus. C deficit. D saving.

1.6 Interest that a bank pays you on your savings is …

A an expense for you. B income for you.
C a tax. D a loan.

1.7 Which of these is a WANT?

A Food B Water C Shelter D A new video game

1.8 Paying for goods with a phone app or bank card is an example of …

A electronic money. B barter.
C commodity money. D coins.

1.9 Selling price − cost price = …

A income. B mark-up only. C profit. D capital.

1.10 The physical things a business uses to make goods, such as tools and machines, are …

A labour. B capital. C natural resources. D entrepreneurship.

(10)

QUESTION 2: TRUE OR FALSE

Write TRUE or FALSE next to the question number. If the statement is FALSE, write down the correct word(s) to replace the underlined word(s).

2.1 A farmer who grows maize is a producer. (2)

2.2 A fixed expense changes from month to month. (2)

2.3 Keeping money in a bank is safer than keeping it at home. (2)

2.4 Inequality means that wealth and income are shared equally. (2)

2.5 Market research helps a business to find out what customers want. (2)

(10)

TOTAL SECTION A: [20]

SECTION B: THE ECONOMY

QUESTION 3

3.1 Give THREE problems that people had when they used the barter system. (3)

3.2 Name THREE forms of money that people use in South Africa today. (3)

3.3 Explain the difference between goods and services and give ONE example of each from your community. (4)

3.4 Explain how producers and consumers depend on each other. (2)

3.5 Give THREE causes of poverty in South Africa. (3)

3.6 Give TWO effects of poverty on children. (2)

3.7 Give THREE ways in which the government helps to reduce inequality. (3)

3.8 Explain why people have to make choices when they spend money. (2)

3.9 Explain why a business that grows can help a community. (3)

[25]

SECTION C: FINANCIAL LITERACY

QUESTION 4

4.1 Thabo receives R300 pocket money a month. He also earns R150 a month by washing his neighbour's car. Each month he spends R120 on airtime and data, R90 on snacks and R60 on taxi fare to soccer practice.

4.1.1 Calculate Thabo's total monthly income. (2)

4.1.2 Calculate his total monthly expenses. (2)

4.1.3 How much can he save each month? (1)

4.1.4 Thabo wants to buy soccer boots that cost R900. How many months will it take him to save for them? (2)

4.1.5 Suggest ONE way in which he can reach his goal sooner. (1)

4.2 The Ndlovu family has a monthly income of R9 500. Their expenses are: rent R3 000, food R3 200, transport R1 400, electricity R900, school costs R700 and a cell phone contract R650.

4.2.1 Calculate their total expenses. (2)

4.2.2 Does the family have a surplus or a deficit, and how much is it? (2)

4.2.3 Suggest TWO ways in which the family can balance its budget. (2)

4.3 Lerato saves R2 000 in a bank account that pays 6% simple interest per year.

4.3.1 Calculate the interest she will earn in ONE year. (2)

4.3.2 Calculate how much she will have after 3 years. (3)

4.4 Give TWO advantages of opening a savings account at a bank. (2)

4.5 Explain why it is important for a household to keep records of its income and expenses. (2)

4.6 Classify each item as income or an expense for a household: (a) a child support grant; (b) a funeral policy payment; (c) money earned from selling vegetables; (d) a taxi fare. (4)

4.7 Why should young people be careful about spending money on things they see advertised on social media? (3)

[30]

SECTION D: ENTREPRENEURSHIP

QUESTION 5

5.1 A Grade 7 group plans to sell popcorn on Entrepreneur's Day. They buy a 1 kg packet of popcorn kernels for R45, cooking oil for R24, salt and flavouring for R16 and 50 paper bags for R15. This makes 50 bags of popcorn.

5.1.1 Calculate the total cost. (2)

5.1.2 Calculate the cost of ONE bag of popcorn. (2)

5.1.3 They decide to sell each bag for R5. Calculate the mark-up on each bag in rand. (1)

5.1.4 They sell 46 bags. Calculate (a) their income and (b) their profit. (4)

5.1.5 Give TWO reasons why R5 is a good selling price for learners at school. (2)

5.2 Design a short advertising slogan for the popcorn and give TWO places at school where the group can put up posters. (3)

5.3 Give TWO health and safety rules the group must follow when they make and sell the popcorn. (2)

5.4 Give THREE ways in which the group members can work well together as a team. (3)

5.5 After Entrepreneur's Day, the group has R150 profit. Suggest TWO sensible ways to use this money. (2)

5.6 Explain what an entrepreneur is. (2)

5.7 Name the FOUR factors of production. (2)

[25]

TOTAL: 100

END OF QUESTION PAPER